

NOTICE OF CLAIM CLOSURE

Date: March 6, 2025
Insured: VAA interiors + architecture
Policy number: NMD-8841-06
Policy period: July 1, 2024 – July 1, 2025
Claim number: NMD-C-24-2207
Claims specialist: Grant Ipswich, Senior Claims Specialist
Defense counsel: Odette Marchbanks, Sharpe Alderton LLP

1. Claim summary

Claimant	Ardsley Financial Group
Claimant’s counsel	Hollingsworth Vane LLP
Project	632588 (Culver City series) — Ardsley Financial Group Headquarters, Corbin Tower, Levels 12–19
Services rendered	2010–2011; substantial completion September 2011
Date of notice	November 12, 2024
Date reported to Northmark	November 13, 2024
Allegation	Negligent specification — adhered flooring assembly issued without moisture vapor mitigation over a slab measured at 92–96% RH
Demand	\$2,150,000

2. Reserve history

Date	Indemnity reserve	Expense reserve	Basis
November 21, 2024	\$2,150,000	\$150,000	Set at full demand pending evaluation
January 8, 2025	\$250,000	\$150,000	Reduced on production of the May 17, 2011 owner directive and the October 8, 2013 Ardsley acceptance letter

Date	Indemnity reserve	Expense reserve	Basis
February 24, 2025	\$0	\$75,000	Claim withdrawn in full February 21, 2025
March 6, 2025	\$0	\$0	Closed

3. Disposition

Claim closed. Indemnity paid: \$0.00.

Claimant withdrew the notice of claim in its entirety by letter dated February 21, 2025 following the insured's production of contemporaneous documentation establishing that the deletion of the specified moisture vapor mitigation system was directed in writing by the claimant, over the insured's written recommendation, with an express acceptance of responsibility for future flooring performance arising from slab moisture, and that the claimant had already applied that acceptance to a 2013 failure at its own cost.

4. Expense

Item	Amount
Defense counsel fees, Sharpe Alderton LLP	\$54,900
Investigation and records review	\$6,500
Total allocated loss adjustment expense	\$61,400

Expense incurred November 21, 2024 through February 21, 2025. **Indemnity: none.**

5. Effect on the insured's loss experience

This claim resolved without indemnity payment. Under Northmark's rating methodology a claim closed without payment is **not chargeable** to the insured's loss experience and will not affect renewal rating for policy period 2025–2026.

6. Note to the insured

The determinative documents in this matter — the insured's letter of April 6, 2011 and the claimant's directive of May 17, 2011 — were not held in the insured's project information system, which had been migrated in 2016 with pre-2014 correspondence out of scope. They were recovered from the insured's continuous electronic mail archive, which had never been migrated.

Northmark notes for the insured's benefit that in the claims we handle involving services rendered more than ten years before notice, the availability of contemporaneous correspondence is very often the difference between a claim closed without payment and a claim resolved by payment.

Grant Ipswich
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Senior Claims Specialist, Northmark Design Insurance